



Anyone who stops learning is old, whether at twenty or eighty.

—Henry Ford

Amaze Yourself!

Read Electronics For You

You'll realise how much you didn't know, and didn't know that you didn't know!

To Subscribe:

<http://subscribe.efy.in>

Scan This Code



Transitional GST rate rules (effective September 22, 2025)

When supply, invoice, and payment dates fall across old (28%) and new (18%/12%→5%) rates, the time of supply rules mentioned below decide the applicable rate:

- Supply + invoice + payment before 22 Sept→old rate applies
- Supply before, invoice and payment after 22 Sept→new rate applies
- Supply before, invoice before, payment after 22 Sept→old rate applies
- Supply and invoice after 22 Sept→new rate applies (irrespective of payment date)

Tip: The sequence of supply, invoice, and payment determines whether the old or new GST rate applies.

Contractual aspects

- Revisit contracts having cum tax pricing
- Revised POs to vendors
- Revised price list for distributors / dealers

Cutover transactions

- ITC accumulation on transition stock
- Applicable GST rates for transitional debit / credit notes
- Treatment of purchase / sale returns

Operational changes

- Employee trainings on GST 2.0
- Changes in ERP to capture new GST rates

Key transitional aspects (Source: ICEA, PwC)

Association (ICEA), stresses that “procedural simplification is as critical as rate cuts,” pointing to time-of-supply rules and job-work ambiguities.

The industry body stated that the Central Board of Indirect Taxes and Customs (CBIC) will continue to monitor stock-keeping unit (SKU)-level prices until March 2026 to enforce anti-profiteering measures, with strong documentation required for credit notes and returns. While GST cuts are positive, dual-use products still face higher rates. Lithium-ion battery makers may claim refunds, but must pass tax savings transparently amid scrutiny and rising costs.

FAQs: Know from the experts

How will GST reforms benefit the middle class?

Electronics will see up to a 10% GST cut, making goods more affordable. Moving many items from 28% to 18% is bolder than expected and directly eases costs for consumers.

What is the monetary impact, and will the benefits be passed on?

Prices will fall substantially, leaving more disposable income. With anti-profiteering provisions phasing out, market competition will ensure the benefit reaches buyers.

What about business operations and compliance?

Companies are updating HSN registers and purchase records, planning refunds where inverted duty applies. A short-term dip in transactions is likely as buyers wait for lower rates, followed by a surge in demand.

What are the implications for international trade?

The two-slab structure aligns India with global VAT models. Exporters will see reduced credit accumulation, and imports will be realigned, boosting competitiveness.

Will new inverted duty structures arise?

Yes. Items moving into 5% may face accumulation of credits. However, automated refunds of up to 90% for low-risk businesses will ease liquidity pressures.

Looking ahead...

As the country heads into the festive season with what is, in theory, a fairer and simpler regime, the real test will be whether industries and retailers pass on the benefits swiftly to consumers. **EFY**

Shubha Mitra is Assistant Editor at EFY, keenly interested in policies and developments shaping the electronics business.